On Re-Ownership

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Hello! I'm back. It's been a while, and I've missed writing these. If you're reading this, thank you.

I want to talk this week on re-ownership. Why, what, where and when. It is re-ownership season for the American farmer, and though the concept sounds simple enough…it is not. It is a process riddled with misconceptions. I've touched on re-ownership in past notes through some of the ideas I've given you all for free, but I think it's timely that I dive a bit deeper.

Why

Why should you be concerned about re-owning your grain at all? If you can sell at the top why should you risk anything more in the market? Great question. Counter-question: Did you sell the top? What is the top? Have you ever successfully sold the top and can you do it again? I haven't, and I couldn't do it again if I had.

Re-ownership is an important part of an operation that knows what it produces and decides to make the market work for them instead of the other way around. Taking a long position in the market after selling a favorable basis allows an operator to free themselves from paying storage and/or drying charges for the grain they produce. If you have bins, you can focus on selling a favorable basis without relying on cash price. If you don't have bins, this *can* make up for what you lose in market potential having to sell your crop at an uncontrollable time.

It's the flip side of hedging, the reason the CBOT has existed since 1848. If done correctly, it can provide freedom and peace of mind that you just cannot get when you're playing for the number on the check you get from your local elevator or processor.

✔ Subscribed

What

What is re-ownership and what markets are available to do it in?

Make no mistake: re-owning sold grain is a speculative practice where one attempts to profit on a long position taken after the prior sale of the physical crop. A couple notes:

- You can do this at any time, though some times of year work better than others.
- Yes, processors and elevators do this, though not quite in the same way that I will outline here.
- This is re-owning SOLD grain. Not getting double long grain you already have and have not sold yet. Please do not do that.

Think of re-ownership as an addition to the $$$ that you are getting from a certain farm. Example in 'When.'

You can re-own in the traditional markets, or you can own the equivalent position in a related market. Usually a product of the crop you just sold, such as re-owning soybeans using soymeal or soyoil futures. If you do that, you must know the conversion ratio of your sold crop to the product you are choosing to own.

The standard board crush says one 60 lb bushel of soybeans yields about 44 lbs of meal and 11 lbs of oil. These have changed but we aren't running a crush plant here. So 5,000 bushels, one full soybean contract, makes about 110 short tons of meal and 55,000 lbs of oil.

Full-size meal and oil contracts are 100 short tons and 60,000 lbs. Close to a contract of beans but not exact. Though the conversions may be similar the ticks are not. Losses can be amplified. That's where micros help. A micro meal contract is 10 short tons, about 455 bushels worth of beans. A micro oil contract is 6,000 lbs, about 545 bushels worth.

This is not for the faint of heart, please contact someone who knows what they are doing.

Where

Where in the market should I place my re-ownership desires? Options. Usually. They have a limited loss depending on strategy. Futures have an unlimited loss always, so they can be a notch risky to re-own grain.

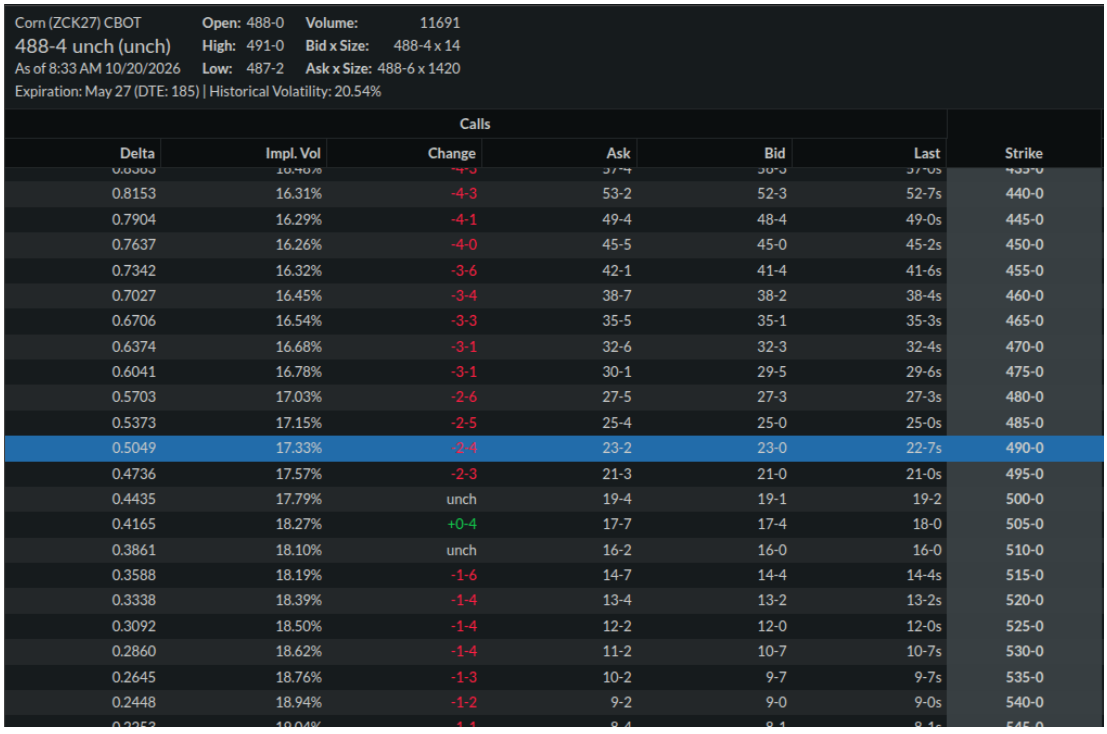
Option strategies can get as complex as you'd like. I prefer to keep them as simple as possible. If you aren't comfortable with exactly what position you are getting into and are rather just 'trusting your broker,' it may be too complex of a strategy for you. That trust will turn to anger and confusion when the position doesn't go your way.

Essentially with options you're buying Delta. Delta = rate of change. Just like math class. Technically you're also buying Gamma, the rate of change OF the Delta…but just focus on the Delta for now. A quick explanation on how Delta works with grain options below:

Delta is how much the price of the option changes with a 1 cent (or whatever unit) change in the underlying futures contract. May corn options are tied to the May futures. May corn futures go up 1 cent, the .50 Delta May corn call goes up 1/2 of a cent. So you own 50% of the move. So any position you take you HAVE to know what the Delta of it is. Because it has a direct correlation with how much money you are going to make or lose on this position.

Say you sold 20,000 bushels and re-owned them with four .50 delta May corn calls. You don't own 20,000 bushels of upside. You own 10,000. Corn rallies 10 cents, and your calls gain about $1,000 (10 cents x 20,000 bushels x .50). Corn drops 10 cents, and you're down about $1,000. That's half the move both ways, at least to start.

IMPORTANT: Delta is NOT stagnant. It changes. The more in the money an option is/becomes, the bigger the Delta. A deep deep deep in the money option will have a delta near 1.0, it will move 1:1 with futures. A deep deep deep OUT of the money option will barely change until it gets closer to being worth something. You can see how it behaves with the different strikes in the May corn call options chain below:



Corn (ZCK27) CBOT — Open: 488-0 — Volume: 11691
488-4 unch (unch) — High: 491-0 — Bid x Size: 488-4 x 14
As of 8:33 AM 10/20/2026 — Low: 487-2 — Ask x Size: 488-6 x 1420
Expiration: May 27 (DTE: 185) | Historical Volatility: 20.54%

Calls						
Delta	Impl. Vol	Change	Ask	Bid	Last	Strike
0.8153	16.31%	-4-3	53-2	52-3	52-7s	440-0
0.7904	16.29%	-4-1	49-4	48-4	49-0s	445-0
0.7637	16.26%	-4-0	45-5	45-0	45-2s	450-0
0.7342	16.32%	-3-6	42-1	41-4	41-6s	455-0
0.7027	16.45%	-3-4	38-7	38-2	38-4s	460-0
0.6706	16.54%	-3-3	35-5	35-1	35-3s	465-0
0.6374	16.68%	-3-1	32-6	32-3	32-4s	470-0
0.6041	16.78%	-3-1	30-1	29-5	29-6s	475-0
0.5703	17.03%	-2-6	27-5	27-3	27-3s	480-0
0.5373	17.15%	-2-5	25-4	25-0	25-0s	485-0
0.5049	17.33%	-2-4	23-2	23-0	22-7s	490-0
0.4736	17.57%	-2-3	21-3	21-0	21-0s	495-0
0.4435	17.79%	unch	19-4	19-1	19-2	500-0
0.4165	18.27%	+0-4	17-7	17-4	18-0	505-0
0.3861	18.10%	unch	16-2	16-0	16-0	510-0
0.3588	18.19%	-1-6	14-7	14-4	14-4s	515-0
0.3338	18.39%	-1-4	13-4	13-2	13-2s	520-0
0.3092	18.50%	-1-4	12-2	12-0	12-0s	525-0
0.2860	18.62%	-1-4	11-2	10-7	10-7s	530-0
0.2645	18.76%	-1-3	10-2	9-7	9-7s	535-0
0.2448	18.94%	-1-2	9-2	9-0	9-0s	540-0

Here's where gamma comes in. After that rally, your calls are closer to the money, so your delta isn't .50 anymore. It's higher, and the next 10 cents pays you more than the first 10 did. The reverse is true on the way down: your delta shrinks, and each cent lower costs you less. That's the beauty of owning options instead of futures.

Gamma is fun. Just take my word for it. More on gamma in a later note.



Don't be the guy who complains his corn calls aren't worth more when corn has gone up 30 cents. That's just not how it works. Know the rate of change of your position.

When you buy a call, the most you can lose is what you paid for it, plus commissions and fees. That's the appeal. But that money is gone if corn doesn't move.

Options also lose value every day just by sitting there. That's called time decay (Theta), and it speeds up as expiration gets closer. Its slow at first and speeds up fast towards the end. If the market goes nowhere, you lose money even though you were "right" that it wouldn't go down. Spend only what you'd be OK writing off as a cost of doing business on that farm.

When

Now that you know the basics, when do we do it? There's two whens, when in the markets and when on your operation.

The Markets

Usually the best time to re-own is when no one wants to own it or you start seeing a lot of bellyaching online. When those YouTube videos come out of the farmer walking down the road talking to a reporter about how hard his life is. You may look at some calls right about then.

There are also technical signals that can tell you now may be a better time than others. Bollinger Bands, Keltner Channels, RSI, DMI, and Fibonacci retracement lines can all be used to determine timing. Unless you're a technical analysis nerd I would recommend talking to a good broker on those signals when thinking about these strategies.

Your Operation

Say you farm 30 miles from home, and that piece just never works to haul back to the bin. You're forced every year to haul it straight out of the field. You know there would be value add in keeping it off the market for a bit, but you either don't have the space or the logistics are a pain. We have a few fields like that. Hauling to the farm is a process of winding hollers and country roads. The elevator is 10 minutes away.

So what do we do? We sell the basis. If basis is historically good and fits our bias, we sell it, usually with the cash too. I was raised to HATE HTA fees so those don't happen much. We then move on with our life. The market isn't going anywhere. We can re-own it with calls. Catching a 10-20 cent move adds to our bottom line whether it comes off the market top or the bottom.

Here's how that played out on one of our soybean fields this year. Before harvest, basis was -25, historically a good spot. We sold the basis and the cash on 5,000 bushels and moved on. By harvest, basis on that same delivery was -65. Selling early put an extra 40 cents a bushel in our pocket, $2,000 on basis alone. But that isn't the whole story.

After our cash sale, futures rallied 30 cents. On 5,000 bushels, that's $1,500 of upside we no longer owned. Darn the luck.

That's the money re-ownership is built to catch. We can't control futures, but basis is local and we have a better handle on it year to year. We'll re-own that field with calls once the market gives us a clearer picture.

Every operation has situations like that. Find yours.

In Summary

Re-ownership is often thrown around with little explanation of what it is and how it works. At times it's used as a buzzword to describe positions it has little to do with. If you still have questions reach out to me at mitch.clod@wicllc.org or call the office at 815.626.2160

I haven't listed many specific strategies. I wanted to lay the groundwork again before I get into the nitty-gritty. I'll have another note out soon on the markets as they sit right now.

Until next time! Thank you for your support.

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